



The author is Managing Director & Group CEO, CareEdge

Decoding India Inc.'s M-cap Surge

The past year has been a testament to the resilience and dynamism of India Inc. Despite a positive outlook, there are several challenges that companies may face

BY **MEHUL PANDYA**

IN A REMARKABLE display of resilience and growth, the average market capitalisation (m-cap) of India Inc. surged to more than ₹400 lakh crore by September 2024. This significant increase underscores the robust performance of Indian corporates over the past year, driven by a confluence of favourable factors and strategic initiatives.

This growth is not just a number; it reflects the robust recovery and strengthening of corporate performance across several sectors. Investors' confidence has been revitalised, driven by healthy earnings, strategic reforms, and a broader economic revival.

FACTORS SUPPORTING GROWTH

Several factors have contributed to this unprecedented growth. Firstly, the Indian economy has shown remarkable recovery post-pandemic, bolstered by healthy domestic consumption and a rebound in industrial activity. The government's sustained focus on capex has further supported this recovery. In the last two years, India's GDP growth has averaged around 7.5%, and the momentum is expected to remain healthy in FY25.

Policies aimed at stimulating growth, such as the PLI schemes, have played a crucial role in boosting manufacturing and exports. Domestic manufacturing and exports have also received some impetus from the global realignment of the supply chain with the China+1 strategy.

Over the last two years, many companies have gone public, adding to the overall m-cap. Some companies listed on the exchanges have opted to issue additional shares through follow-on public offers (FPO), rights issues, or qualified institutional placements (QIPs). These factors have led to an overall increase in the number of shares or equity capital issued.

Additionally, digital transformation across various sectors has been a game-changer. Companies that embraced digital technologies and e-commerce platforms have seen substantial growth in their market valuations. The fintech sector has witnessed exponential growth, driven by increased adoption of digital payment solutions and financial services.

FDI inflows have also been a significant driver. India has emerged as a preferred investment destination, attracting substantial FDI across sectors such as technology, pharmaceuticals, and renewable energy. Since FY22, the average annual FDI inflows has been \$76 billion, compared to the pre-pandemic annual average of \$59 billion. This influx of capital has not only enhanced the financial strength of companies but also boosted confidence.

The past year has seen stellar performances from several sectors, which have led to an increase in corporate earnings